

How are these numbers useful? Imagine that the measure rule says price will rise from 20 to 22 in bull markets. That's a rise of 10%. How many rounding tops will fail to see price rise by more than 10%? Answer: 18%, or 82% of trades will exceed a 10% rise. That's quite good.

Table 56.3 Cumulative Failure Rates

Maximum Price Rise or Decline (%)	Bull Market, Up Breakout	Bear Market, Up Breakout	Bull Market, Down Breakout	Bear Market, Down Breakout
5 (breakeven)	49 or 9%	34 or 17%	80 or 20%	34 or 12%
10	53 or 18%	39 or 37%	75 or 39%	45 or 28%
15	43 or 26%	32 or 53%	52 or 52%	48 or 44%
20	46 or 35%	18 or 62%	52 or 65%	38 or 58%
25	38 or 41%	14 or 70%	45 or 76%	26 or 67%
30	34 or 48%	11 or 75%	25 or 82%	23 or 75%
35	29 or 53%	8 or 79%	22 or 88%	23 or 83%
50	82 or 68%	20 or 89%	37 or 97%	40 or 97%
75	69 or 80%	13 or 96%	11 or 100%	8 or 100%
Over 75	109 or 100%	8 or 100%	0 or 100%	1 or 100%

Table 56.4 shows breakout-related statistics.

Breakout direction. The breakout direction tracks the market trend. The highest percentage of breakouts appears in bull markets for upward breakouts and bear markets for downward breakouts. This makes intuitive sense (as in a rising tide lifts all boats or trade with the [market] trend).

Yearly position, performance. After sorting the samples by breakout direction and market condition, then sorting them again into where they appear in the yearly price range, some of the entries show few samples.

Rounding tops within a third of the yearly low show the best performance. You'll want to avoid those near the yearly high.